

Reserves for Taxes and Insurance

Property taxes can significantly impact affordability. You'll want to discuss taxes with any buyers you work with-especially new buyers, who can be rather naïve about the homebuying process. You'll also want to discuss the concept of **reserves**. Lenders have a vested interest in making certain that borrowers stay up to date on their taxes and insurance. If that doesn't happen, the lender will place a lien on the property, since it was pledged as collateral. If the insurance isn't paid and disaster strikes, the property-and the lender's funds-can literally go up in smoke. To protect its interest, lenders will require you to keep a reserve fund (aka escrow account or impound account) for taxes and insurance. Federal regulations limit this amount, but buyers should be prepared to put as much as 14 months' worth of prepaid property taxes and insurance in reserves at closing time.

Federally-regulated lenders must require borrowers who live in **floodplains** (areas that experts believe are likely to flood sometime in the next 100 years) to obtain flood insurance as a condition of obtaining their loan. Because flood insurance isn't usually standard with most homeowner's insurance policies, it has to be purchased separately or bundled with the homeowner policy. The Federal Emergency Management Agency (FEMA) administers the National Flood Insurance Program (NFIP) to help homeowners in flood hazard areas obtain insurance.